STRATEGIC MANAGEMENT FINAL PAPER

PEPSICO CASE STUDY ANALYSIS

LECTURER:

Sisdjiatmo K. Widhaningrat

Composed by

Chalinee Kunkaweeprad (1206323306)
Karisma Maharani Anisakusuma (0906490790)
Prasya Aninditya (0906532540)
Shafa Tasya Kamila (1006663096)

UNIVERSITAS INDONESIA DEPOK

2012

STATEMENT OF AUTHORSHIP

"Kami yang bertandatangan di bawah ini menyatakan bahwa makalah/tugas terlampir adalah murni hasil pekerjaan kami sendiri. Tidak ada pekerjaan orang lain yang kami gunakan tanpa menyebutkan sumbernya. Materi ini tidak/belum pernah disajikan/digunakan sebagai bahan untuk makalah/tugas pada mata ajaran lain kecuali kami menyatakan dengan jelas bahwa kami menyatakan dengan jelas menggunakannya. Kami memahami bahwa tugas yang kami kumpulkan ini dapat diperbanyak dan/atau dikomunikasikan untuk tujuan mendeteksi adanya plagiarisme."

Nama : Chalinee Kunkaweeprad

NPM : 1206323306

Tanda Tangan :

Nama : Kharisma Maharani A.

NPM : 0906490790

Tanda Tangan :

Nama : Prasya Aninditya

NPM : 0906532540

Tanda Tangan :

Nama : Shafa Tasya Kamila

NPM : 1006663096

Tanda Tangan :

EXECUTIVE SUMMARY

This report provides an analysis and evaluation of the Marketing Strategy of PepsiCo. Methods of analysis include the internal and external analysis of the company.

The research draws attention to the competition PepsiCo in the Cola and Snacks industry. With its main competitors, Coca Cola Company and Kraft Foods. Despite being a strong second opinion against Coca Cola, Pepsi has become the largest selling soft drink in the world and is liked by people of all ages. Therefore, this reearch analyses the strategies used by PepsiCo to compete with its competitors and the effectiveness of it. Including how well PepsiCo. can manage its SWOT towards the environment.

CHAPTER I

INTRODUCTION

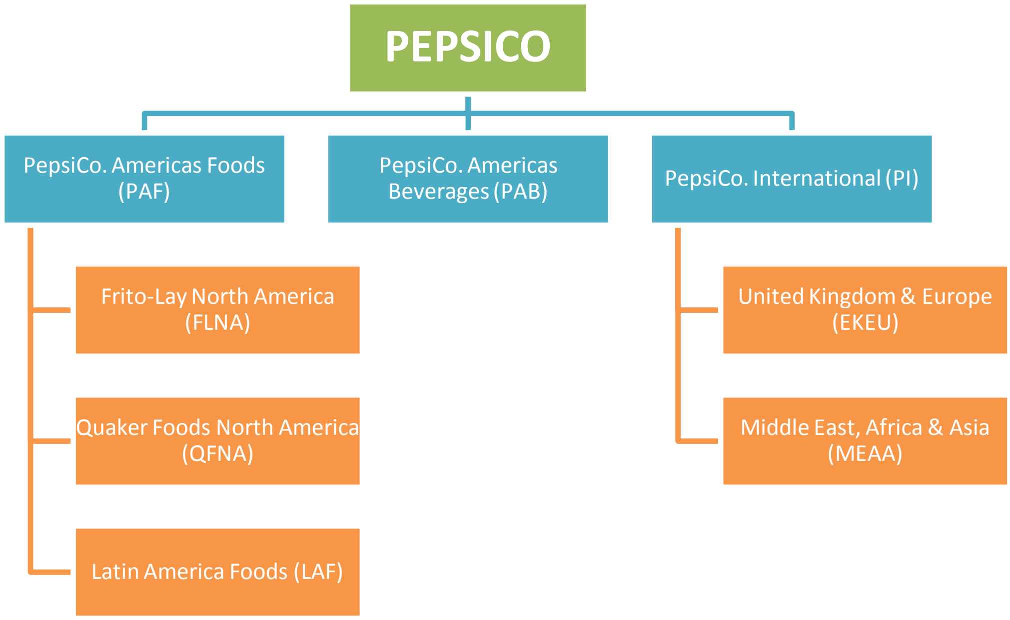
I. COMPANY BACKGROUND

Back in 1880's, the recipe for Pepsi was developed by Caleb Bradham in New Bern, North Carolina who had renamed it "Pepsi-Cola" in 1898. As the cola industry develop in popularity, Caleb created Pepsi-Cola Company in 1902 and registered a patent for his recipe in 1903.

As Pepsi-Cola Company went bankrupt in 1931, Charles Guft who owned a syrup manufacturing in Baltimore Maryland acquires the trademark and recipe to Loft Inc. In the year 1941, Pepsi was formally absorbed to Loft, and Loft Inc. rebrands its company name to Pepsi Cola Company.

Up until today, Pepsi Cola Company – further will be mentioned as PepsiCo – has successfully expanded it area of products through mergers and acquisition of other companies, such as Frito-Lay Company, Quaker Oat Company and other companies.

PepsiCo has developed its divisions into 5, PepsiCo Americas Foods (PAF), PepsiCo Americas Beverages (PAB), PepsiCo Europe, and PepsiCo Asia, Middle East and Africa (AMEA) with the structure shown in the figure below.



Each of the division has their own R&D team to match local needs of the customers. That explains the broad product line aside from PepsiCo's massive acquisitions.

II. PROBLEM STATEMENTS

Due to company's background and strategic management approaches, problems that appeared which I will analyze later in Chapter II:

- The effectiveness of company's vision and mission statements;
- Company's assessment toward its external and internal environment to formulate strategies;
- Strategies implemented by the company to reach its long-term objectives;
- Company's CSR activities to improve their brand image.

CHAPTER II

STUDY ANALYSIS

I. VISION AND MISSION STATEMENT

I. a. Vision Statement

"PepsiCo's responsibilty is to continually improve all aspects of the world in which we operate – environment, social, economic – creating a better tomorrow than today.

This vision statement is implied by Pepsico. to continuosly bring improvement in food and beverages products and market, the environment, society and economy for a healthier and better tomorrow.

I. b. Mission Statement

"To be the world's premier consumer products company focused on convenient foods and beverages. We seek to produce financial rewards to investors as we provide opportunities and the communities in which we operate. And in everything we do, we strive for honesty, fairness and integrity."

Factors	Yes/No
Customer	No
Product	Yes
Philosophy	No
Market	No
Technology	No
Concern for survival, growth and profitability	Yes
Self-concept	No
Concern for public image	Yes
Concern for employees	No

Pepsico.’s statement lacks in factor that should be included in a mission statement. With the existing statement, pepsico. has only included Product, Concern for Survival, Growth and Profitability and also Concern for Public Image. This statement doesn’t include customer, market, philosophy, technology, self-concept and concern for employees factors.

We will propose new mission statement to complete all these factors requirements for a good mission statement:

“To be the world’s premier consumer products company focused on selling high quality food and beverage products, to our customers all across the globe. We are triggered to use the most efficient processes using the best of machinery. By doing so, we seek to produce healthy financial rewards to investors as we provide opportunities for growth and enrichment to our employees, our business partners, and the communities in which we operate. And everything we do, we strive for honesty, fairness and integrity.”

II. <u>EXTERNAL ANALYSIS</u>

II. a. <u>PESTEL ANALYSIS</u>

1. Political and Legal Forces

   Pepsico operates in different countries such as United States, Europe, Africa, and Asia. Thus, it must consider the legal and labor forces of the countries in which it operates. It has to make a good policy and have a good internal control about its operations and employee’s incentives in order to be compliance with the law. The things that Pepsico should consider are tax laws, labor union, and environmental law. It should operate in accordance to the laws in the country to have a good corporate compliance and governance.

2. Economic Forces

Economic factors have some significant impact on Pepsico's business. If the income level per capita of the people inrcreases, it will have a positive effect on the consumption of its products. Meanwhile, if there is an inflation, it will have a negative effect on Pepsico as people's purchasing power decrease, they will consume less. Since Pepsico is operating and distributing in different countries, while the headquarter is in the USA, dollar strength has an impact on Pepsico's business. When there is a decrease in the dollar strength, it gives a bigger opportunity for Pepsico for exports.

3. Social, Demographic, Culturan and Environmental Forces

The healthier lifestyle of the people promotes different patterns of consumption. This could be either a threat and new opportunity for Pepsico products. Pepsico can support sports events in order to give a message to the people that Pepsico concerns about the health of the people. Besides that, the requirements of different age groups are different. Pepsico should target that age group that consumes the soft drink or snacks. For products like Pepsi, and Lay's, it should target young generation, while for the healthy meal like Quaker Oats, it should target adults. Pepsico should also consider the education level within the country for making its strategy since education has direct impact promotion and marketing. It should make marketing/promotional campaigns that can make people aware of its brands and products according to the country's education level. In addition, Pepsico should also consider about the natural environment factors in operating the business as a form of contribution and responsibility to the community.

4. Technological Forces

Given how capital-intensive the food/beverage industry is, it is imperative for Pepsico to stay ahead of the curve in terms of the most advanced technological breakthroughs, as the company requires highly mechanized assembly lines designed both for long production runs and flexibility. The growing technology gives new opportunity for Pepsico to have new ways for Pepsico marketing strategy. The proliferation of Internet users also opens up further market opportunities for Pepsico to market its products.

5. Competitive Forces

In the food and beverage industry, Pepsico has the second largest market share. The summary of Pepsico's performance compared to its competitors within the food and beverage industry, which are Coca Cola and Kraft, is shown in the table below:

	PEP	KO	KRFT
Market Cap	108.85B	168.19B	27.45B
Employees	297	146,2	N/A
Qtrly Rev Growth (yoy)	-0.05	0.01	0.03
Revenue (ttm)	65.70B	47.60B	18.88B
Gross Margin (ttm)	0.52	0.60	0.33
EBITDA (ttm)	12.59B	13.01B	3.53B
Operating Margin (ttm)	0.15	0.23	0.17
Net Income (ttm)	5.92B	8.80B	1.94B
EPS (ttm)	3.76	1.91	3.28
P/E (ttm)	18.74	19.60	14.14
PEG (5 yr expected)	4.07	2.30	2.58
P/S (ttm)	1.65	3.55	1.46

From the analysis above, we can conclude that the opportunities of Pepsico are easy new products penetration in the market, it operates in fast growing industry, changing social trends, and new media promotion opportunities. In addition, it has the opportunity to make a partnership with well known brand such as Starbucks, and more sport tournaments that Pepsico can support. On the conterary, the threats of Pepsico are strong competition in every division it has, such as competition from Coca-cola and Kraft, it operates in the mature beverage/food industry, and aggresive top management strategy by its competitors. There is also growth in the carbonated drink sector which will bring new substitute products to entry. And also, some health issues are concerned regarding the products of Pepsico.

II. b. PORTER'S FIVE FORCES MODEL

Analysis:

1. **Rivalry Among Existing Competitors : VERY HIGH**
   a. High diversification from the competitor like Coca cola.
   b. Few strong companies have a control over the market.
   c. In the present, the main competitor is Coca-Cola wand the competitor also provide a wide range of beverage products under its brand. Both Coca-Cola and Pepsi are the predominant carbonated beverages and commit heavily to sponsoring outdoor festivals and activities.
2. **Bargaining Power of Buyers : HIGH**
   a. There are many substitute products in the market; therefore, customer has large varieties of product.
   b. The customer in the beverage market is price sensitive, as company cannot charge high price because they have many choice of product.
   c. The consumer can switch to other product or other company' product as there are many same kind of drink in the same market.
3. **Threat of Substitute : HIGH**
   a. There are many kinds of energy drink and soda products in the market.
   b. Many companies provide similar product in the same market.
   c. Not only coca cola is the main competitor but PepsiCo also have other product line, which means that they also have other competitors.
4. **Threats of New Entrants : LOW**
   a. Entry barriers are relatively low for beverage industry as there is already various number of the company in the market.

b. Few multinational groups own the largest part of the market share.

c. There is high initial cost, therefore, few company want to enter this market.

5. **Bargaining Power of Suppliers : LOW**

a. Dependence on raw materials, however, there are a lot of suppliers available in the market.

b. The main ingredients for soft drink include carbonated water, phosphoric acid, sweetener, and caffeine. The suppliers are not concentrated or differentiated.

c. Any supplier would not want to lose a huge customer like PepsiCo.

II. c. <u>EFE MATRIX</u>

Key External Factors	Weight	Rating	Score
Opportunities			
1. Easy new products penetration in markets	0.09	4	0.36
2. Operate in the fastest growing industry (noncarbonated drinks)	0.10	3	0.30
3. Changing social trends (healthy foods)	0.10	3	0.30
4. Media promotion and vending machines	0.10	2	0.20
5. Partnerships with well-known brands (i.e. Starbucks)	0.07	2	0.14
6. More sport tournaments are being held worldwide	0.09	4	0.36
TOTAL	**0.55**		**1.66**
Threats			
1. Strong competition in every division	0.10	2	0.20
2. Growth of energy drinks in carbonated drinks sector	0.08	1	0.08
3. Mature industry (Beverages)	0.10	2	0.20
4. A few Frito Lay products resulted in abdominal cramps in consumers	0.07	2	0.14
5. Aggresive top management strategy by competitor (Coke)	0.10	1	0.10

TOTAL	**0.45**		**0.72**
GRAND TOTAL	**1.00**		**2.38**

External Factor Evaluation (EFE) Matrix holds the information of two lists which are important to the company. These lists are identified as Opportunities and Threats. These factors inside this matrix are rated from 1 to 4, where 1 is the lowest and 4 is the highest.

The total score of 2.38 is below average of 2.50. This means that PepsiCo is currently not responding very well to existing Opportunities and Threats. It also shows that PepsiCo should improve their response towards the environment in a more positive way.

II. d. CPM

Competitive Profile Matrix (CPM)		**Pepsi-Cola**		**Coca-Cola**		**Kraft**	
Critical Success Factors	Weight	Rating	Score	Rating	Score	Rating	Score
Financial Positions	0.15	3	0.45	4	0.60	3	0.45
Advertising	0.15	4	0.60	4	0.60	3	0.45
Market Share	0.10	3	0.30	4	0.40	3	0.30
Customer Loyalty	0.20	3	0.60	3	0.60	3	0.60
Price Competitiveness	0.10	3	0.30	3	0.30	3	0.30
Expansions	0.15	3	0.45	4	0.60	3	0.45
Brand Image	0.15	4	0.60	4	0.60	4	0.60
Total	**1.00**		**3.30**		**3.70**		**3.15**

CPM identifies a firm's major competitors and its particular strengths and weaknesses in relation to a sample firm's strategic position.

PepsiCo scores 3.30 which lays between Coca-Cola Company and Kraft Foods. The advertising really helps PepsiCo to capture consumer's attention which is their target and makes PepsiCo more valuable than its competitor, Kraft. Coca-Cola Company which is PepsiCo's main and biggest competitor, scores much more than PepsiCo. If PepsiCo can increase their financial position and market share, they might catch up with Coca Cola Company in this matrix. But again, what does it has to reality? This will help each company to examine how far they have gone in the market, whether to maintain or to improve their current position.

III. INTERNAL ANALYSIS

III. a. STRENGTHS

Strong brand name is one of the greatest strengths for PepsiCo. It is one of the largest brands that could be recognized be the people in the world. In all around the world the company use the name " PepsiCo" in every country in the world. The strong brand presence makes it easier for the company to market its products around the world. PepsiCo did not provide only the cola product but also provide various numbers of products. All these brands have rode on the success of the company brand and have found it easy to sell since the company brand in largely accepted in the market. The popularity of PepsiCo corporate brand has also made it easier for the company to introduce new products in the market. All PepsiCo has to do in order to make a new product success is to attach it with the company's corporate brand which has already attained a significant level of brand loyalty in the beverage market.

PepsiCo is a large distribution network; this is the other strength of PepsiCo. The organization's ability to take it product near the consumer is one of the core elements that define the company success. The firm has managed to do this through creation of a massive distribution system. The organization runs bottling units in diverse geographical region, which enables the company to produce its products near the consumers. By doing this, it reduces the transportation cost and storage cost of the company, which leads to the higher profit as it reduces the expense.

Moreover, the company also has established good connection with small and mega retailers who sell PepsiCo products to the final customers. Forming partnership with large retailers such as Wall- Mart has enabled the company to expand its reach to the market. Also, partnership with small retail business has helps the firm to take it products to even the remotest parts of the world. Apart from retail chains, the company has also corporate with fast food restaurants around the world such as KFC, which have also provided the company with a wide network of outlets.

III. b. COMPETITIVE ADVANTAGES

PepsiCo is in the beverage industry and it is one of the most competitive industries in the world as there are numerous of products competing against one other. In order to survive in the market, any company needs features that gives it an edge over it competitors. Innovative line of products is one of the PepsiCo competitor advantage. The organization has been on fore front in the development of innovative beverage products for different segments of the market. The company has different groups of target market over 20-different product. The ability of the company to come up with new and innovative products has enabled the company to change as consumer’s needs evolve and thereby remain relevant in the market.

PepsiCo capability to respond quickly to market opportunity and threats is the other competitor advantage. The organization innovativeness provides it the capability to respond quickly to changes in the market. The company convenient size also gives it the ability to change quickly. The firmstructure is neither to small like most of its competitors neither too large like its main competitor, Coca Cola. The relatively large size of the company gives the organization access to resources that also make it easier for the company to move quickly.

III. c. INTERNAL WEAKNESSES

The company's reliant on franchised bottling company to distribute its products; this is one of the internal weaknesses found in PepsiCo.This strategy has seen the company create very powerful bottlers that it cannot exert control over. Occasionally, the franchises oppose introduction of new products by PepsiCo while other refuse to produce some of the products. Sometimes, the franchises also create their own product lines that are not part of the PepsiCo's brands. Moreover, this franchise system also limited the ability of the company to expand its operations. On the other hand, the company main competitor like Coca Cola is being able to invest in its bottling companies but the company cannot invest in its bottling companies since it does not own them. This has hampered the growth and expansion of the firm since most of the individual investors have limited capacity to make such investments.

III. d. INTERNAL FACTORS EVALUATION (IFE) MATRIX

Key Internal Factors	Weight	Rating	Score
Strengths			
1. Strong brand	0.09	4	0.36
2. Strong marketing and advertising of products around globe	0.07	3	0.28
3. Products availability	0.08	3	0.24
4. Revenue and profits	0.08	3	0.24
5. Market share	0.07	3	0.21
6. Competent workforce	0.05	3	0.15
7. Wide variety of products	0.05	3	0.15
8. Earning per share	0.02	4	0.08
TOTAL	**0.51**		**1.71**
Weaknesses			
1. High debts	0.07	2	0.14
2. Health Issues	0.08	1	0.08
3. Low sales in some products	0.09	2	0.18
4. Negative impact on brand image due to product recall	0.10	1	0.10
5. Lack of product focus	0.05	1	0.05
6. High operating expense	0.10	1	0.10
TOTAL	**0.49**		**0.65**
GRAND TOTAL	**1.00**		**2.36**

Internal Factor Evaluation (IFE) Matrix holds the information about the internal position of a company. This internal position consists of Strengths and Weaknesses. These factors inside this matrix are rated from 1 to 4, where 1 is the lowest and 4 is the highest.

Like its EFE Matrix, PepsiCo is also below average with the score of 2.36. This means that PepsiCo doesn't really know their current Strengths and Weaknesses, although they know, they didn't use them effectively.

IV. SWOT-TOWS Matrix

	Favorable	Unfavorable
Internal Origin	STRENGTHS 1. Strong brand 2. Strong marketing and advertising 3. Products availability 4. Revenue and Profits 5. Market share 6. Competent workforce 7. Wide variety of products 8. High EPS	WEAKNESSES 1. High debts 2. Health issues 3. Low sales in some products 4. Negative impact due to product recall 5. Product focus 6. High operating expense
External Origin	OPPORTUNITIES 1. New products penetration 2. Fastest growing industry 3. Social trends 4. Media promotions and vending machines 5. Partnerships 6. Sport tournaments	THREATS 1. Strong competitions 2. Carbonated drinks sector growth 3. Mature beverage industry 4. Health issues 5. Agressive strategy conducted by competitor

Based on SWOT Analysis in which Starbucks' strengths, weaknesses, opportunities and threats is already represented in EFE/IFE Matrix, presented below the TOWS Analysis for suggested strategies:

Strengths	Weaknesses
9. Strong brand	1. High debts
10. Strong marketing and advertising	2. Health issues
11. Products availability	3. Low sales in some products
12. Revenue and Profits	4. Negative impact due to product recall
13. Market share	5. Product focus
14. Competent workforce	6. High operating expense
15. Wide variety of products	
16. High EPS	

Opportunities	S-O Strategies	W-O Strategies
1. **New products penetration** 2. **Fastest growing industry** 3. **Social trends** 4. **Media promotions and vending machines** 5. **Partnerships** 6. **Sport tournaments**	1. Increase marketing and advertising to penetrate new products in the market (S1, S2, S3, O1, O4) 2. Promote investments in the company with existing promising feedback (S1, S4, S5, S8, O2)	1. Extend R&D section to cope products health issues to comprehend social trends (W2, W4, O3) 2. Sampling in events to capture customers by offering better taste and quality (W3, O8)
Threats	**S-T Strategies**	**W-T Strategies**
1. **Strong competitions** 2. **Carbonated drinks sector growth** 3. **Mature beverage industry** 4. **Health issues** 5. **Agressive strategy conducted by competitor**	1. Sufficient financial resources can help company to develop more in carbonated and non-carbonated drinks sector (S5, S5, S8, T4, T5) 2. Overwhelm main competitors by conduting agressive strategies in other sectors (S2, S3, S7, O7)	1. By improving the taste and quality, company can reposition its products in a long term position on maturity stage (W3, W4, W5, T3, T5) 2. Develop healthy energy drinks for youth for customer retention (W6, T6)

V. BCG MATRIX

Relative Market Share

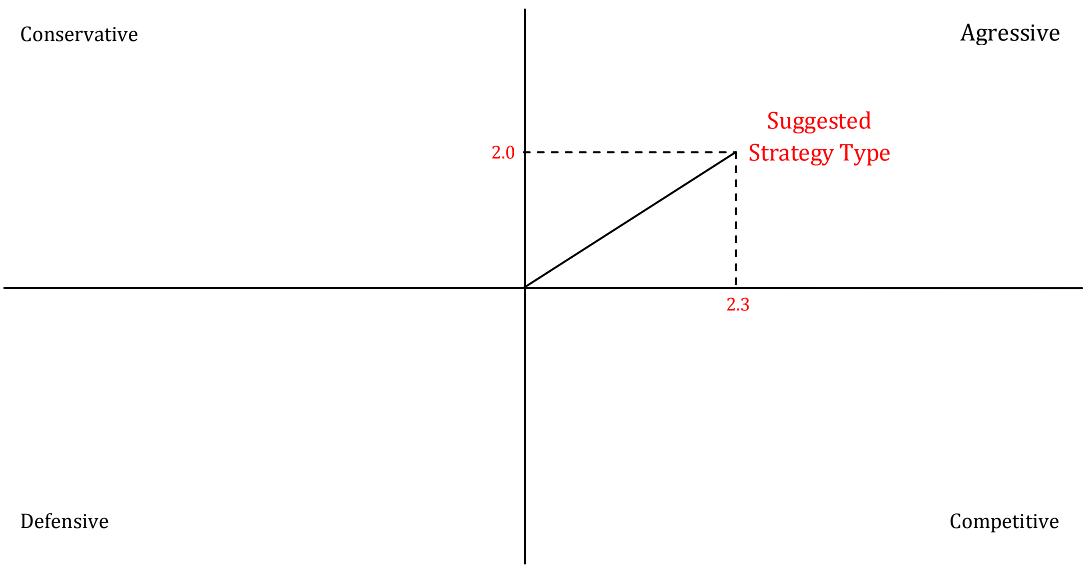
Market Growth Rate		**High**	**Low**
	High	STARS (Frito-Lay)	QUESTION MARK (Aquafina)
	Low	CASH COWS (Pepsi-Cola)	DOGS

Analysis:

1. Aquafina : Low market share, low growth chances
2. Frito-Lay : High market share, high growth chances
3. Pepsi-Cola : High market share, low growth chances

VI. SPACE Matrix

	Internal Strategic Position		External Strategic Position	
X Axis	Competitive Advantages (CA)		Industry Stability (IS)	
	Market Share	-2	Growth Potential	4
	Product Quality	-1	Resource Utilization	5
	Brand Image	-2	Financing Access	5
	Customer Service	-2	Technological Know How	4
	Customer Loyalty	-2	Barriers to Entry	3
	Manufacturing Expenses	-1	Industry Profits	3
	AVERAGE	-1.7	AVERAGE	4.0
	TOTAL X AXIS SCORE = 2.3			
Y Axis	Financial Strengh (FS)		Environmental Stability (ES)	
	ROE	5	Competitive Pressure	-3
	Revenue Increase	3	Competing Product Price	-3
	Liquidity	4	Demand Variability	-2
	EPS	4	Inflation Rates	-2
	Cash Flows	4	Technological Changes	-1
	Efficiency Ratios	5	Price Elasticity of Demand	-2
	AVERAGE	4.2	AVERAGE	-2.2
	TOTAL Y AXIS SCORE = 2.0			



CHAPTER III

CONCLUSION AND RECOMMENDATIONS

<u>Strategy Recommendation and Implementation for PEPSI CO.</u>

Pepsi Co is currently a strong worldwide leader in the food and beverage industry. Throughout its growth, it has stayed true to its mission and objectives, while becoming a dominant force within the United States as well as abroad. Known throughout the world for quality products and customer care, Pepsi Co should make no major strategic changes to its plan. However, like in any business situation there are areas that Pepsi Co can improve upon. Some of the recommendations are as follows:

- Continue to expand with their "Human Sustainability". The healthy eating market is a demographic that will continue to grow in the future, and will provide generous profits if Pepsi Co is able to obtain a large market share.
- Expand more into social benefits, especially for those in developing nations. Pepsi's main competitor Coca Cola has implemented a water purification program for African Villages, which provides a valuable need and at the same time introducing their brand name where it was before unknown. If Pepsi followed this same ideology with food products and water purification it too would significantly increase brand recognition
- Capture more of the aging population's market share. Pepsi is a company focused on a younger market hoping to repeat the worldwide success of Coca Cola in regards to brand loyalty with the generations born after 1980; however, there is still a large market with the Baby boomer demographic that they could break into.
- A minor yet still important change that needs to be made is to their website. After comparing it to competitors we feel that it needs to be simplified.

Overall PepsiCo is a successful company with substantial revenue, and a large footprint in the marketplace. PepsiCo should continue to expand their growth and take advantage of potential opportunities by continuing to improve on areas at the corporate top level, in the markets that they currently are in, and in new markets and market segments that they wish to expand into.

- PepsiCo should expand into markets and market segments that they are currently not in, such as Asia, India, and South America, in order to expand their market share at the global level and to increase their overall revenue.

- PepsiCo should improve their employee relations in order to create employees all over the world that will promote the product both during their work day and in their personal life in order to create "word of mouth marketing".

- PepsiCo should look to cut some of their expenses as they currently have $10 billion more in revenue than the competition, but they have a similar Net Income of $5.5 billion.

- PepsiCo needs to continue to expand their market share in the markets where they currently have a strong presence in order to maintain their market share and their footprint in the marketplace.

- PepsiCo should become more proactive in the health food/product marketplace rather than being reactive to the market trends. They need to improve their responsiveness and future projections to market trends and changes that can therefore allude to different product segments and target markets.

Strategy Evaluation and Control.

- PepsiCo should expand into markets and market segments that they are currently not in, such as Asia, India, and South America, in order to expand their market share at the global level and to increase their overall revenue. In doing so, they should increase the revenue percentage above the current below 20%. They should evaluate the situation and growth again in one calendar year, and analyze the total effect.

- PepsiCo should do market surveys of their target market segments in order to analyze the existing brand awareness in the marketplace every two quarters and then analyze the overall change and trend on the calendar year.
- PepsiCo should cut their expenses by a set percentage every quarter in order to increase their Net Income each quarter and year. This would increase the bottom line and benefit the stockholders. It would be advised to reduce costs by 10% as an original amount, and then potentially increase the percentage after a few trial quarters.
- PepsiCo should position themselves on the cutting edge of the health trend in the marketplace by increasing funds for R&D in order to research potential new product ideas. Funding should be increased significantly and then the ROI on the positioning should be analyzed after multiple quarters of study.

REFERENCES AND APPENDICES

David, Fred R. *Strategic Management, concepts and cases.* Pearson: 2009

Company's official website (www.pepsico.com)

Wikipedia (www.wikipedia.com)

Hoover's report of Pepsi Cola Company